

On the trade, I made 35%, including those tasty dividends. Even better, the stock peaked the next day and dropped down to 48 and change about a week later. I love it when the stock later shows I was right to sell. However, in this case, the decline was short-lived. It move sideways in the mid-50s for the rest of the year and then jumped to the mid-60s during the takeover.

Cypress Semiconductor

The trade in Cypress Semiconductor (CY) I would call a mistake and that's good because it gives me something to write about.

The stock started trending higher from the September 2004 low and formed an Eve & Eve double bottom along the way. This double bottom acted not as a reversal pattern but as a continuation. They look weird because they don't have a left side that towers above the pattern (I like to see the left side be above the top of the peak between the two bottoms. In this case, the stock only made it about three-quarters of the way up).

On 7 February 2005, I bought the stock, filled at 12.69. Here's my notebook: "Stop: 11.05, just below the pennant in February. Upside target: 15.71. Future NASDAQ direction (guess): I expect the NASDAQ to stall at the knot of overhead resistance and turn down. That's not good for the stock, but it shows strong upward momentum, and I'm hoping the flag will support the stock.

"Buy reason: EEDB [Eve & Eve double bottom]. A strong breakout on Friday suggests an extended move, but I think the fundamentals are weak. This may throw back at 14 due to knot of resistance in June 2004. The 13–16 range is going to be a problem for this stock (May to June consolidation region—a MMD [measured move down chart pattern] corrective phase). If the NASDAQ turns around (continues up), this stock might do well. I chose this over Intel because of the book score. Intel has a –4 score and an upward breakout from a descending triangle."

- Lesson: Never chase a stock. If you can't get in at a good price, wait for a retrace or look elsewhere for a better trade.

Confirmation of the double bottom was at 11.83, and I bought the stock at 12.69, or 7% above the optimum entry price. Now, I wouldn't touch the stock until it behaved.